

ly on the success of the Macintosh and its failure would most likely mean bankruptcy for the company. Fortunately for the company, the Apple II was still selling well and was a constant source of healthy income for Apple. By now, Apple had established a healthy reputation for itself as being a cool and innovative company but had lost the trust of consumers that it could be relied upon. IBM was the company most people would bet their money on.

The man responsible for most of this trouble was, of course, Steve Jobs, and the blame fell squarely on him. Jobs was the Chairman of the board and the head of the Macintosh group at the time. John Sculley chucked him off the Macintosh division and handed the reins to Jean Louise Gassée. Jobs then began plotting against Sculley to have him evicted out of the position of CEO. The leadership of Apple was a political mess. Sculley became wise to Jobs' intentions and warned him that serious action would be taken against him if he did not quit his antics. Jobs apologised and made peace with Sculley, but continued contriving behind his back. His intentions were again reported to Sculley, who became livid. He called a board meeting, and Steve Jobs was stripped of all leadership responsibilities at Apple. He was allowed to stay on as a "product visionary," a post that had no importance or bearing on the company. It was just a compromise to keep the die-hard Apple loyalists and old-timers happy. Jobs soon left the company, along with four of Apple's top engineers, with the aim of starting a new computer company and beating Apple at its own game.

With Jobs out of the way, Sculley had the entire administration of Apple under his control. He had to fire about 1,200 employees and the company also suffered a quarterly loss. Microsoft, at that time, was preparing for the introduction of Windows 1.0, which was heavily inspired by the Mac's GUI. Sculley locked horns with Bill Gates over this and they came to an agreement that Microsoft would not use technology that was similar to the Mac platform in Windows 1.0. However, this contract made no mention of future versions of Windows, and Gates' lawyers made sure this loophole made it to the final